T.K.A. Nair, principal secretary to the prime minister, called me on 28 July to check if the finance minister had spoken to me about my extension, and I told him no. The prime minister wanted to know, he said, adding, ‘Let me know as soon as the finance minister speaks to you.’ I knew Nair quite well as I used to deal with him on a regular basis both when I was in the prime minister’s Economic Advisory Council and later as finance secretary. He was a warm, friendly and affable person, and I knew he regarded me highly and was my well-wisher. He called me again, I think on 4 August, with the same inquiry. He sounded a bit puzzled at what he thought was an impasse. The only signal I got from these phone calls was that the government was actively engaged in a decision on my extension or in identifying a successor. That was comforting, as the last thing I wanted was for the issue to go to the wire.

On the morning of 9 August, at about elven, I was in my office working on a speech that I was scheduled to deliver in Kathmandu later that week at a conference organized by the Nepal Rastra Bank, when Susobhan Sinha, my executive assistant, walked in to tell me that he had just seen a scroll on the TV, saying: ‘Subbarao gets two-year extension’. We switched on the TV in my office and saw it too. I dismissed that as a continuation of the ongoing media speculation. My logic was that the finance minister, or at any rate, someone high up in the government would call and give me the news before putting it out in the public domain. Within fifteen minutes, Nair called to give me the news and congratulated me on behalf of the prime minister and on his own behalf.

I tried to call the finance minister, Pranab Mukherjee, to thank him for the reappointment, but managed to connect with him only late in the evening, at about ten. I thanked him for the confidence reposed in me and he said something to the effect of: ‘Oh, that was just a formality. You’ve earned the extension by your performance. There was never any question of replacing you at this stage. All the best.’

One issue in this whole process of reappointment that provided grist for the media mill was the way in which the announcement came from the prime minister’s office, on its website, rather than from the ministry of